



Finance • Empower • Transform

JAWABU BIASHARA LIMITED

Head Office, Muthaiga Square, 3rd floor
Opp Muthaiga Police Station.
P.O. Box 14457-00100 Nairobi, Kenya
Tel: 0701 338 383 | 0701 337 676

NO.

OFFER LETTER

This document is a confirmation that:

Jawabu Biashara Limited

is willing to grant a

Loan facility

to:

Name: _____

P.O. Box _____

Tel: _____

under the following Terms and Condition.

LOAN FACILITY, KSHS

Your application dated refers. It is our pleasure in confirming that we are prepared to grant you a loan of Kshs..... for a maximum period of months subject to the following terms and conditions.

PURPOSE

The facility has been granted for Business working capital. The whole loan amount shall be used only for the purpose set out here in. Jawabu Biashara Limited shall have the right to demand immediate payment of any amount of the outstanding loan amount together with interest, if it shall come to our notice that the whole or any part of the loan has been or is being expended for any other purpose.

AMOUNT

The maximum amount you can draw under this facility is Kshs

TERMS AND CONDITIONS

1. Interest

Interest will be charged at the rate of on a flat rate. Late payment will be charged at a rate ofper month immediately on the installment arrears over and above the rated stated above. We reserve the rights to amend interest charges without prior notice to you.

2. Loan Application Fees

The Loan processing fees is of principal loan and other third-party fees as per attached fees schedule shall be deducted from the loan amount.

3. Security

The facility will be secured by:

- Chattel Mortgage over motor vehicle registration number
- Joint registration over motor vehicle

4. Insurance

- a) Comprehensive insurance cover for motor vehicle....., used as collateral with Jawabu Biashara Limited interest noted with the insurer before disbursement.
- b) Jawabu Biashara limited reserves all rights to create insurance cover upon expiration of existing policy at the cost and or interest of the borrower.
- c) Risk Fund will be charged at rate ofon the principal loan borrowed to be deducted from the loan amount.

5. Facility sanction

- Security to be perfected before drawdown.

6. Buy Off / Early Settlements

A loan shall be eligible for a buy off / early settlement upon payment of a minimum of 3 loan instalments (D+1) and extra one month interest plus outstanding principle.

7. Disbursement

The disbursement will be done upon completion of all legal formalities, including perfection and registration of securities. The loan will be disbursed directly to your account or your nominated account by RTGS net of all fees.

8. Repayment

The funds will be repaid direct to our **account:** JAWABU BIASHARA LIMITED, 1130276393222, EQUITY BANK, **BRANCH:** KENYATTA UNIVERSITY or through our MPESA PAYBILL Number 951284; Account number (ID No.....) by months equal installments of Kshs with effect from the first month of drawdown until the loan is paid in full. The date of drawdown/disbursement of the loan shall be the monthly drawdown anniversary date for the repayment of the monthly installment due. The instalment shall be due and payable in clear funds without any deductions whatsoever on the monthly drawdown anniversary date.

The full monthly installment must be deposited to our account in cleared funds on or before the anniversary date. Any partial payment, late payment or failed installment after the monthly drawdown anniversary date shall attract monthly late payment charges/penalty interest (whether formally demanded or not) without prejudice to any other rights of Jawabu Biashara Ltd.

9. OTHER TERMS AND CONDITIONS

- a. The offer letter is made open for acceptance within fourteen days (14) from the date of this letter and if not accepted unconditionally within that period, it will be deemed withdrawn from expiry thereof.
- b. The whole loan balance shall immediately become due and payable by you and or the Guarantor at the absolute discretion of Jawabu Biashara Limited if the following events occur (Jawabu Biashara Limited is not limited to the events listed as the same are not exhaustive)
 - i. Default in payment of any installment, interest and or penalties payable herein or the payment of any other monies secured herein;
 - ii. Failure to effect Jawabu Biashara Ltd as loss payee on the insurance policy or to maintain the required insurance policy;
 - iii. On suspicion of fraudulent activity; forgery or any criminal activity
 - iv. Distress or execution is levied or threatened upon any of yours or guarantor's property
 - v. Where you and or the guarantor do or suffers to be done any act likely to prejudice the effectiveness of Jawabu Biashara Ltd rights herein or there is good reason to assume that you and or the guarantors financial position/standing has materially deteriorated.
- c. Where the loan balance becomes due and payable on account of Clause (b) herein above before the interest paid meets the threshold under Clause 6, Jawabu Biashara shall demand the difference as part of the loan balance.
- d. Where the bank account details provided herein for the disbursement of the loan is not your personal account, you confirm to Jawabu Biashara Ltd that you have nominated the said account voluntarily and are fully aware of the owners and or beneficiaries of the said account. You authorize JBL to effect payment to the said bank account /telephone number as the case may be and you shall have no claim or defense on account that the said account is not your personal account and shall indemnify JBL against any claims that may arise therefrom.
- e. We reserve the rights to tack, to combine accounts, the right to consolidate all securities held for any account to constitute for all accounts also held. The continuance of this facility will depend upon your account being conducted to our satisfaction and on the understanding that the facility so granted is payable on demand in full should Jawabu Biashara Limited deem it necessary to make such demand.
- f. Should you fail to effect any Repayment as required and agreed, additional interest will be charged at a rate of 5% p.m. on the installment arrears over and above the rate stated above. The borrower hereby acknowledges and confirms that the additional interest represents a reasonable pre-estimate of the loss to be suffered by Jawabu Biashara Limited for funding the borrower in default. Bounced cheque(s) shall each attract a penalty of Kes. 3,000 over and above the additional penalty interest.
- g. You hereby unconditionally authorize JBL to repossess the collateral where in JBL judgement its rights over the collateral may be adversely affected if not repossessed. The reasons may include but not limited to any attempt by you to dispose the collateral, tamper with the tracker or where in JBL rights shall be adversely affected or on failure to meet payments as required will lead to recovery of the collateral without further reference or notice to you and all costs related to recovery will be borne by you.
- h. Any costs, fees or expenses (including but not limited to insurance policy renewals, tracking fees, auctioneer fees, towing charges, yard storage charges, legal fees and disbursements) that are incurred by us as a result of breach of terms by you or enforcement of this Agreement by us shall be debited to your loan account and recoverable by us from you.
- i. Jawabu Biashara Ltd interest noted on the logbook by joint registration of ownership of the said motor vehicle(s) is strictly for the purpose of securing the loan advanced and the Borrower and or Guarantor shall indemnify, protect, defend and hold harmless JBL and its agents from and against any and all claims, loss ,damages, liens, judgments, penalties, legal fees, expenses and/or liabilities arising out of, involving, or in connection with, the use and/or control/possession of the said motor vehicle(s) or on account of breach of terms.

- j. You now declare that all the information and warranties you have provided to us as the basis of your facility are totally correct and complete.
- k. You hereby agree and authorize Jawabu Biashara Ltd to obtain from, procure, disclose, respond, advise exchange and communicate your personal data and loan account information with the Credit Reference Bureaus as required by law or any other regulatory body.
- l. Where applicable, the Guarantor shall procure the punctual performance by the Borrower of its obligations to Jawabu Biashara Ltd and hereby guarantees to JBL the payment and discharge of the Borrower's obligations and liabilities, whether actual or contingent, now or hereafter due, owing to or incurred by the Lender on the loan facility.

Yours faithfully,

For: Jawabu Biashara Limited

.....
Branch Manager

.....
Authorised signatory

ACCEPTANCE OF OFFER

I..... referred to in letter, of which the foregoing is a copy, accept the offer hereby on terms and conditions.

Signature Date

Witness

Signature Date